

Chapter Eight: Organizational Design and Structure

Introduction

- *Organization is the process of combining the work, which individuals and groups have to perform with the facilities necessary for its execution, that the duties so performed provide the best channels for the efficient, systematic, positive and coordinated application of the available efforts (Sheldon)*
- *Koontz and Donnel have defined organizational structure as 'the establishment of authority relationships with provision for coordination between them, both vertically and horizontally in the enterprise structure'.*

Characteristics of good organizational structure

- *The structure must lay down formal reporting hierarchy right from the lowest level to the highest level of hierarchy*
- *Grouping of identical activities in one department so that equipment, machines, processes and expertise can be developed at one place under the guidance of one departmental head.*
- *Coordination of various activities be laid down and coordinating authority specified.*
- *Individual, group and departmental goals should be laid down with specific time frame.*
- *Instructions, policies, procedures, rules and regulations should exist in an organization.*

Forms of organization structure

1. *Mechanistic form of organizational structure: An organizational structure based on formalized system that is relatively rigid in nature.*
 - This is generally applicable to those organizations that *are not influenced by technological, product, market changes and generally maintains a constant pattern.*
 - In mechanistic form of organizational structure, authority is *centralized* at the top level of management and has a rigid hierarchy of authority.
 - Decision making is generally reserved at the top level.
 - The tasks are well defined so that the goals set by the top level management are attained smoothly.
 - The structure is characterized by plenty of written orders and instructions.

Forms of organization structure

2. *Organic form of organizational structure:*

- Organizations those are *subject to change due to environmental factors like technology, market changes and product development* generally adopt organic form of organizational structure.
- In such structures authority is delegated to various functional levels/individuals.
- **Decentralized** decision making is practiced that allows people to make their own decisions based on the environment

Mechanistic vs Organic structure

Mechanistic Structure

- *Centralized work culture*
- *Highly formalized (exhaustive written orders)*
- *High specialization*
- *Standardized job structure*
- *Narrow span of management*
- *Tall organizational structure with number of organizational tiers*
- *Centralized decision making*

Organic Structure

- *Decentralized work structure*
- *Formalization is very low (very few written instructions)*
- *Low level of specialization (team work)*
- *Fluctuation in work culture*
- *Wide span of management*
- *Flat organizational structure with few tiers*
- *Decentralized decision making*

Centralization and Decentralization

- *Centralization* refers to reservation of authority for decision making at top level of management.
- Lower levels are responsible for implementing the decisions
- *Decentralization* on the other hand refers to authority being delegated to various levels of organization for making appropriate decisions.
- Centralization and decentralization is not opposite to each other but two ends of continuum

Span of Management

- In a classical organization, *effectiveness and efficiency* is determined by number of people a manager can handle effectively.
- Span of management is also known as **span of control**.
- The basic principle of span of management is an *ability of a manager to effectively supervise a finite number of people*.
- It has been established that at higher levels a manager can control **4-8 people** while at lower levels **8-15 people** can be supervised.

Span of Management

- **Wide Span:** *Wide span of management is suitable where work is delegated to work groups and teams and there is near autonomy in work environment.*
- *Clear policies are laid down and subordinates display a high degree of sense of responsibility*
- **Narrow Span:** *Organizations having narrow span can achieve fast communication, close command and control and keep track on the pulse on the progress of the work.*
- *In narrow span there are number of organizational layers and each of the individual is accountable to his leader.*

Designing of Organizational Structure

- *Good organizational structure facilitates the following*
 1. *Every individual has to perform certain activities in the organization*
 2. *Identical activities are grouped together in order to facilitate efficient functioning and achievement of results*
 3. *It is necessary that idle machine time is avoided, capacity is fully utilized and operations of production in particular and other functions are regulated to achieve utilization of resources. Bottlenecks are avoided and smooth flow of activities is achieved*

Steps in Formation of Organizational Structure

1. **Determination of organizational goals and identification of related activities:** Based on the goals all activities that are required should be identified and broken down into *smallest possible sub activities* that may be assigned as a task or a job to the worker.
2. **Grouping of activities:** All identical activities should be grouped keeping in mind *formation of various departments or divisions*. Set of activities could further be sub-divided and assigned to a particular section of a department.
3. **Delegation of authority:** A person can not perform his duties unless he has been given adequate authority to accomplish the assigned task. He can not be made responsible and accountable if requisite authority has not been given.

The following processes are necessary in formation of Organizational structure

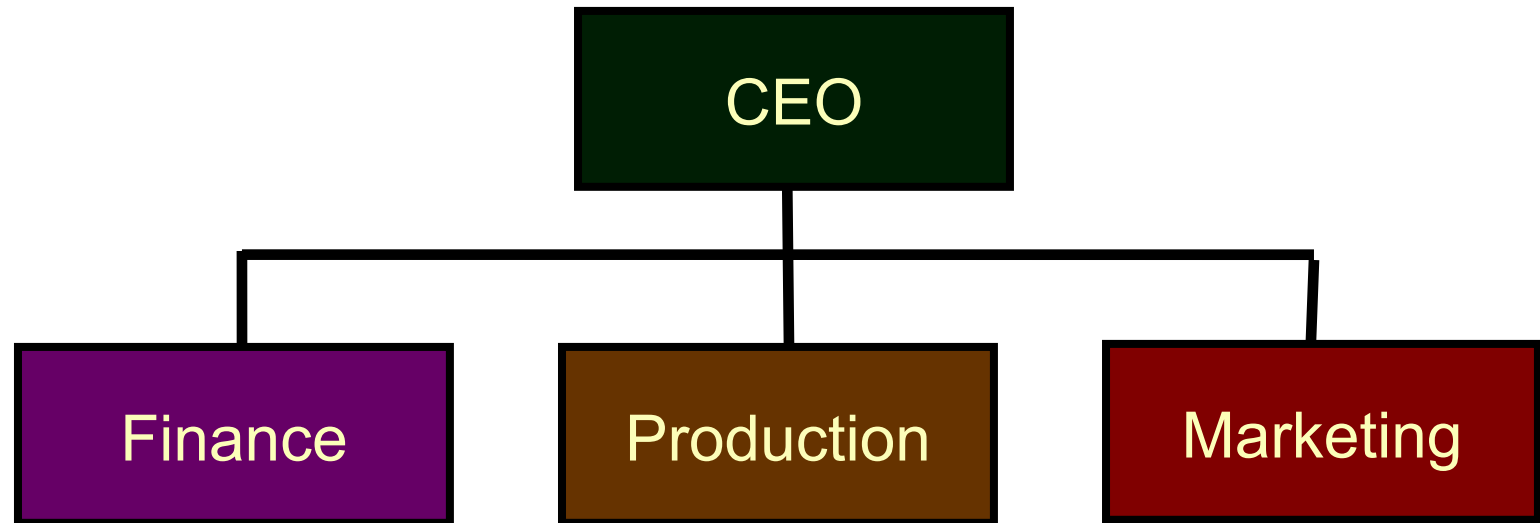
- 1. Determination of course of action to meet the organizational objectives.*
- 2. Division of various activities into appropriate segments to be handled by individuals appropriate to their skills.*
- 3. Assignment of tasks to individuals and delegating necessary powers and resources.*
- 4. Coordination to ensure that resources are adequately utilized and that there is no overlap or gap in task accomplishment*

Types of organizational structure

- *There are different organizational structures based on different criteria. The most common ones are:*
 1. *Functional organizational structure*
 2. *Divisional organizational structure*
 3. *Geographical organizational structure*
 4. *Matrix organizational structure*

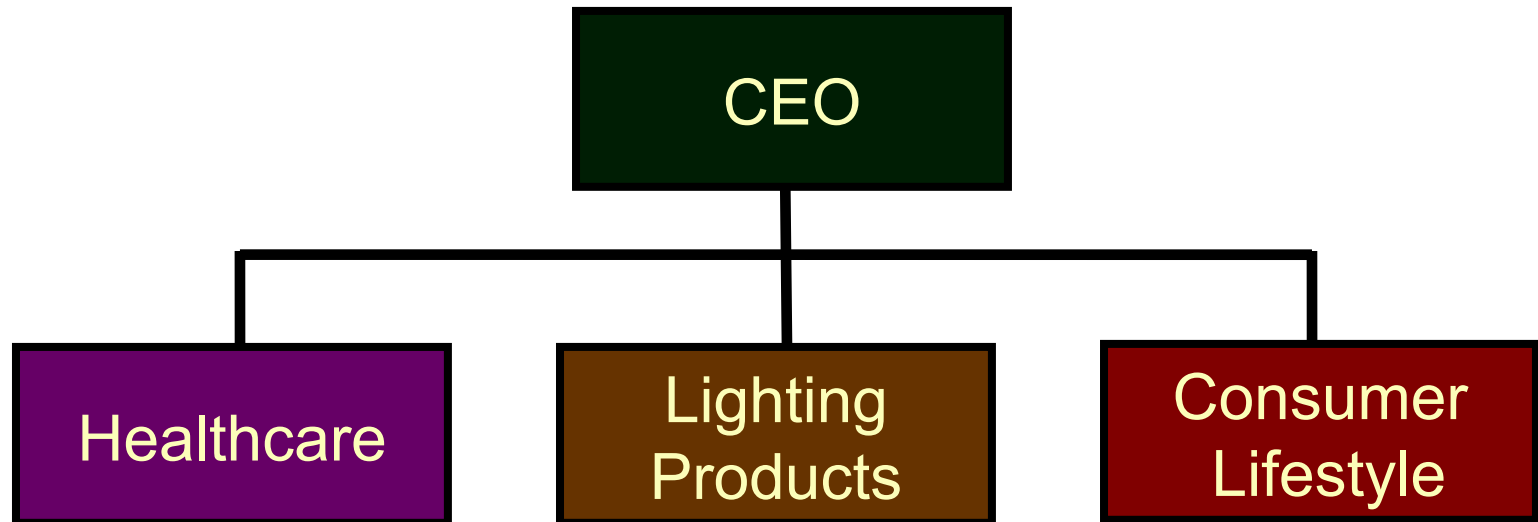
Functional Organizational Structure

An organization in which similar and related occupational specialties are grouped together(e.g., marketing, production)



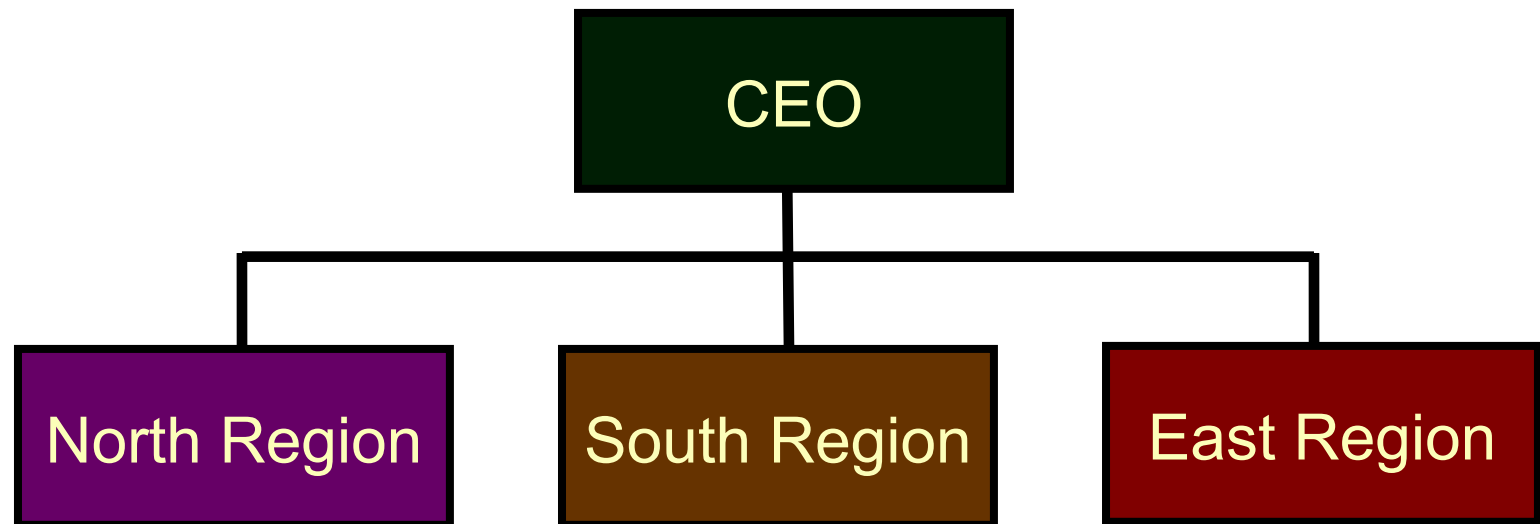
Divisional organization Structure

Organizes employees around outputs, clients, etc (An organization made up of self-contained units)



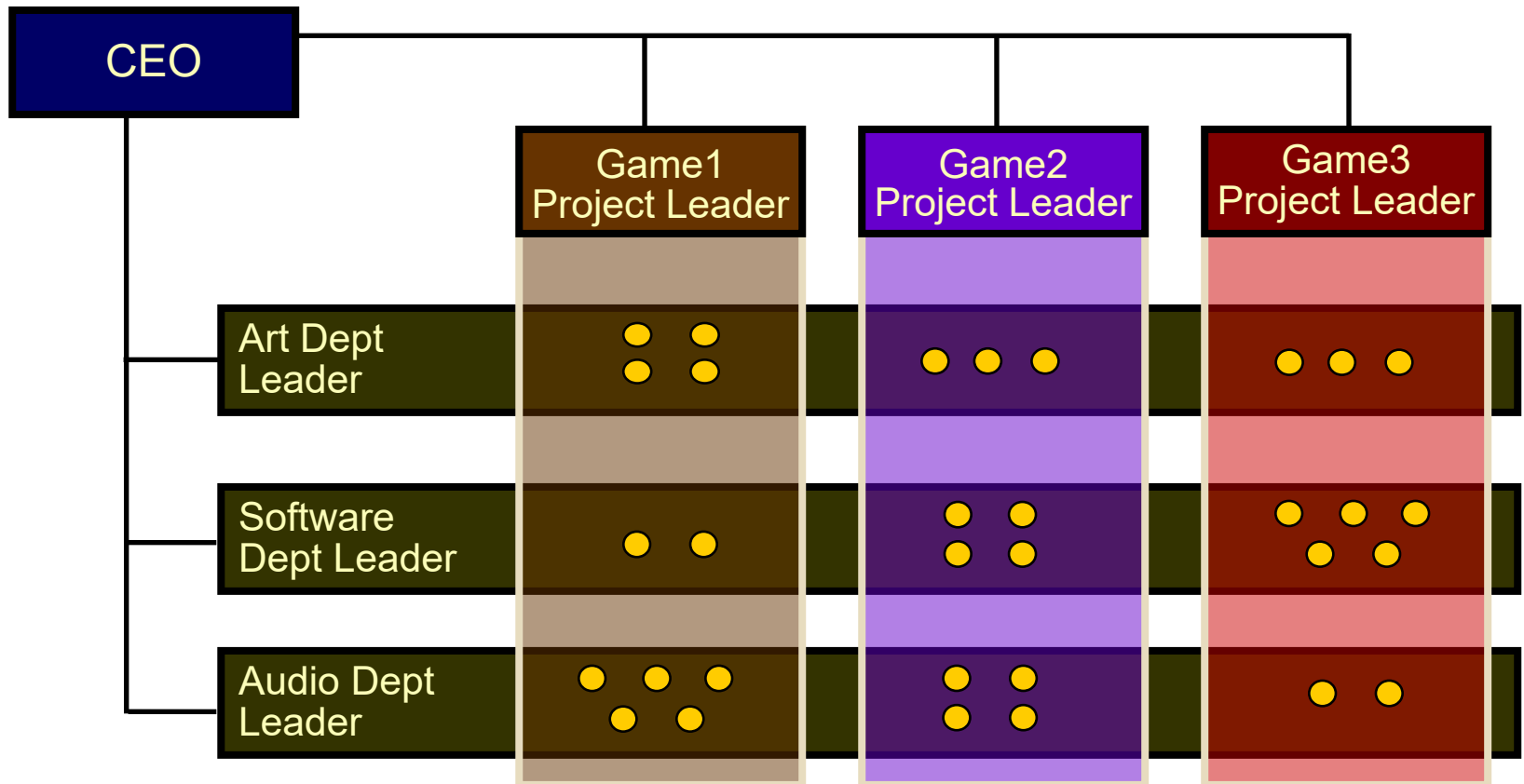
Geographic/Territorial Organizational structure

Organizes employees around a geographical area/territory



Matrix Organizational Structure (Project-based)

Employees are temporarily assigned to a specific project team and have a permanent functional unit



Job Design

- *Job design is related to deliberately structuring technical, social and human aspect of a job.*
- *It is related to organizing (assembling) the components of job to enable participation by all group members to accomplish the same.*
- *Jobs can be highly complex or very simple in terms of use of employee skills.*
- *Once a job is designed, it must give satisfaction to the worker and he should be able to experience 'Worth' in doing the same.*

Types of job design

1. Job Simplification: *In this technique, jobs are broken down into very small parts where a fragment called “task” is repeatedly done over and over again by the same individual.*

- *Thus the worker achieves high level of proficiency.*
- *Quality of the product and high volume is produced in a limited time frame.*
- *Employee therefore is paid higher rewards.*
- *On the organizational side, the productivity is high.*

Types of job design

2. Job Enlargement: Job Enlargement means where two or more simple tasks are combined and allotted to an employee.

- Giving a worker a larger portion of the total task by *horizontal loading*
- As in the case of *vehicle driver*, apart from driving he can undertake the job of *maintenance of the vehicle*. In this situation it adds more tasks to a job so that the worker has variety of simple tasks to perform.
- *The advantage of this method is more variety in a job and acquiring additional proficiency.*

Types of job design

3. Job Rotation: Job rotation refers to a technique where the employee is *periodically rotated* from one job to another within the work design.

- It involves moving employees among different jobs over a period of time.
- In this system workers do not get bored and problem of job enlargement is automatically taken care of.
- In job rotation workers get opportunities to do different jobs within a span of few weeks / months as he is rotated from one job to another.

Types of job design

4. Job Enrichment: Job enrichment refers to the technique of job design in which *variety of skills* are required to be possessed by the individual.

- Increasing responsibility for planning and coordination tasks by *vertical loading*
- Job enrichment entails *skills development and a challenge*.
- It entails inbuilt motivation, absolute control over the job and opportunities for growth and learning.
- Enriched jobs offer an *intrinsic value* to the worker and promotes motivation among the individuals doing the job.

Job Design and Quality of Work Life

- *Quality of work life refers to high level of satisfaction an employee enjoys by virtue of job design.*
- *Quality of work life is measured by factors like job involvement, job satisfaction, competence, job performance and productivity.*
- *People must ensure that the job they are doing is central to individual's life and they display maximum involvement.*
- *Studies indicate that challenging jobs that have skill variety, influence employees to get involved in their jobs*

Job Satisfaction

- *Job satisfaction indicates the positive and affective responses of employees to their job environment. More specifically, job satisfaction indicates employees satisfaction with:*
 1. *Nature of work they do*
 2. *Quality of supervision they receive*
 3. *Co-workers*
 4. *Pay and*
 5. *Promotional opportunities*
- ❖ *Job satisfaction is correlated to job characteristics (skill variety, autonomy etc) and to job involvement. Sekaran (1977) in his work indicated that job stress decreases job satisfaction. Job stress could result from role ambiguity, role conflict, role overload or role difficulty.*

Competence, Job Performance, and Productivity

1. Competence

- Competence involves **k**nowledge, **s**kill and **a**bility.
- When an individual attains competence he is more involved in his job because he is intrinsically motivated.
- By greater involvement the individual achieves higher degree of competence.
- Hence greater the involvement greater is competence. Thus, competence and involvement re-enforces each other.

Competence, Job Performance, and Productivity

2. Job Performance

- *Job performance increase with the increase in Job satisfaction, Job involvement and job competence.*
- *Job performance and Job satisfaction are inter-related.*

3. Productivity

- *Productivity increases when there is a perfect fit of personality predisposition and the job itself.*
- *All the core factors of job design, predisposition of the individual give rise to productivity and quantum of output which is for the social good.*
- *It is therefore safe to conclude that job design is singularly responsible for growth, quality of work life of employee and the society*